**Kestrel Property Valuations**

Property valuation and advisory

# Meridian Logistics Estate Market Valuation Report

Truganina VIC: four-warehouse industrial and logistics estate offered as first mortgage security

Prepared for Kerrigan Hale Capital Pty Ltd and the proposed senior lender

Valuation date: 14 May 2026

Version 1.0, final for lending purposes

Reference: KPV-VAL-2026-0514-MLE

Date: 14 May 2026

*Synthetic - for demonstration. All names, entities and figures are fictional.*

*Confidential. Prepared for the addressee only and not to be relied on by any other party.*

| | |
|---|---|
| **Owner** | Meridian Logistics Estate Pty Ltd (ABN 98 445 227 419) |
| **Sponsor** | Arcadia Industrial Group Pty Ltd (trading as Arcadia Industrial) |
| **Property** | Meridian Logistics Estate, 45 Meridian Boulevard, Truganina VIC 3029 |
| **Registered office** | Level 14, 400 Collins Street, Melbourne VIC 3000 |
| **Date of valuation** | 14 May 2026 |
| **Prepared by** | Kestrel Property Valuations |
| **Prepared for** | Kerrigan Hale Capital Pty Ltd, for first mortgage lending purposes |
| **Version** | 1.0 |

*Report details*

# 1. Executive summary

We have valued the freehold interest in Meridian Logistics Estate, a completed and stabilised four-warehouse industrial and logistics estate in Melbourne's western corridor. The valuation supports a proposed A$88.0M senior secured interest-only term facility over a 60 month tenor.

We assess the Market Value of the freehold, as is and subject to the assumptions in Section 10, at A$150.5M exclusive of GST. This equates to A$2,352 per sqm of gross lettable area. The adopted capitalisation rate is 5.25% on net income of A$7.9M. The estate is 97.5% occupied across seven tenants, with a weighted average lease expiry (WALE) of 6.1 years by income and fixed annual rent escalations averaging 3.5%.

On the proposed facility limit of A$88.0M, the loan to value ratio (LVR) is 58.5%. The principal valuation sensitivities are the capitalisation rate, tenant concentration (the largest tenant provides 31.0% of passing income) and leasing of the 1,600 sqm vacant tenancy.

| Item | Conclusion |
|---|---|
| Market Value (as is) | A$150.5M |
| Value per sqm of GLA | A$2,352 |
| Adopted capitalisation rate | 5.25% |
| Net income adopted | A$7.9M |
| Land component | A$46.0M |
| Total development cost (TDC) | A$118.4M |
| LVR on A$88.0M limit | 58.5% |

*Valuation summary*

# 2. Instructions and basis of valuation

Kestrel Property Valuations was instructed by Kerrigan Hale Capital Pty Ltd, on behalf of the owner, to provide a market valuation for first mortgage security purposes. Market Value is defined as the estimated amount for which an asset should exchange on the valuation date between a willing buyer and a willing seller in an arm's length transaction, after proper marketing, where the parties acted knowledgeably, prudently and without compulsion.

We inspected the estate and reviewed the information memorandum dated 9 February 2026, the Danforth Quantity Surveyors Pty Ltd report dated 27 February 2026, the financial statements dated 6 March 2026, the management accounts dated 13 March 2026 and the indicative term sheet dated 27 March 2026. We also had regard to the Harcourt Pryor Valuers Pty Ltd valuation dated 20 February 2026, which was supplied for reference. Our conclusion is independent and does not rely on that report.

# 3. Property description

The estate occupies a 13.3 hectare site at Truganina, approximately 22 kilometres from the Melbourne CBD, with direct access to the Princes Freeway and the Western Ring Road. It was developed by Arcadia Industrial in three stages between 2020 and 2024. The site was acquired through Meridian Logistics Estate Pty Ltd on 14 June 2019 for A$46.0M, equivalent to about A$346 per sqm of site area.

The four warehouses have clear internal heights of 12 to 14 metres, ESR-rated hardstand, 24/7 operating approvals and rooftop solar on all buildings. Total development cost was A$118.4M including land, which leaves A$72.4M of construction and other costs, or about A$1,131 per sqm of GLA. The Danforth report supports the cost to complete the remaining works.

| Building | GLA (sqm) | Completed | Tenants | Leased |
|---|---|---|---|---|
| Warehouse 1 | 18,000 | Mar 2021 | 1 | 100% |
| Warehouse 2 | 16,000 | Nov 2022 | 2 | 100% |
| Warehouse 3 | 15,500 | Nov 2022 | 2 | 100% |
| Warehouse 4 | 14,500 | Sep 2024 | 2 | 89% |
| **Total** | **64,000** | | **7** | **97.5%** |

*Building schedule (Warehouses 2 and 3 split is Kestrel's allocation of the 31,500 sqm Stage 2 total)*

# 4. Location and market evidence

Truganina sits within the western industrial corridor, one of Melbourne's deepest logistics markets, supported by freeway access, proximity to the Port of Melbourne and a large residential catchment. Vacancy has risen as speculative supply has been delivered, and we expect rental growth to remain moderate while that supply is absorbed. Prime assets with long leases and institutional-grade specifications continue to attract strong investor demand.

| Location | GLA (sqm) | A$/sqm | Yield | WALE (yrs) |
|---|---|---|---|---|
| Derrimut (Nov 2025) | 38,000 | 2,410 | 5.20% | 7.4 |
| Laverton North (Aug 2025) | 52,000 | 2,290 | 5.40% | 5.2 |
| Truganina (Mar 2026) | 29,500 | 2,480 | 5.10% | 8.8 |
| Subject (adopted) | 64,000 | 2,352 | 5.25% | 6.1 |

*Sales evidence and subject property*

The subject's rate per sqm sits within the evidence range. Its yield is bracketed by the Derrimut and Laverton North sales, which is appropriate given its WALE of 6.1 years, its scale and its single vacant tenancy.

# 5. Tenancy profile

The seven tenants operate in third party logistics, food distribution and e-commerce fulfilment. Occupied area is 62,400 sqm and vacant area is 1,600 sqm, all in Warehouse 4. Net income of A$7.9M equates to about A$127 per sqm of let area, which we consider broadly in line with market rent. Fixed annual escalations average 3.5%, ahead of our expectation of market rental growth over the medium term.

| Measure | Result |
|---|---|
| Occupancy by area | 97.5% |
| WALE by income | 6.1 years |
| Largest tenant, share of passing income | 31.0% |
| Top three tenants, share of passing income | 68.0% |
| Remaining four tenants | 32.0% |
| Income expiring in 2031 and 2032 | 24% |
| Average fixed escalation | 3.5% per annum |

*Lease and concentration metrics*

# 6. Valuation approach and analysis

## 6.1 Capitalisation of net income

The primary method is the capitalisation of net income. Gross revenue of A$9.8M less operating costs of A$1.9M gives net income of A$7.9M. We adopt a capitalisation rate of 5.25%, which reflects the sales evidence, the quality of the covenants and the 6.1 year WALE. Capitalising A$7.9M at 5.25% gives A$150.5M after rounding. The net income adopted includes a market vacancy allowance, so no separate deduction is made for the 1,600 sqm vacancy. The A$1.6M of minor capital works for that tenancy is a lender-funded item.

## 6.2 Discounted cash flow cross-check

We ran a 10 year discounted cash flow with fixed escalations, a market-based re-leasing assumption at expiry, a discount rate of 6.75% and a terminal capitalisation rate of 5.50%. The result was A$148.9M, which is 1.1% below the capitalisation value and within the tolerance we would expect for a stabilised asset.

## 6.3 Direct comparison

At A$2,352 per sqm, the conclusion sits inside the A$2,290 to A$2,480 per sqm range of the evidence. The Truganina and Derrimut sales have longer WALEs and warrant higher rates, and the Laverton North sale has a shorter WALE and an older specification.

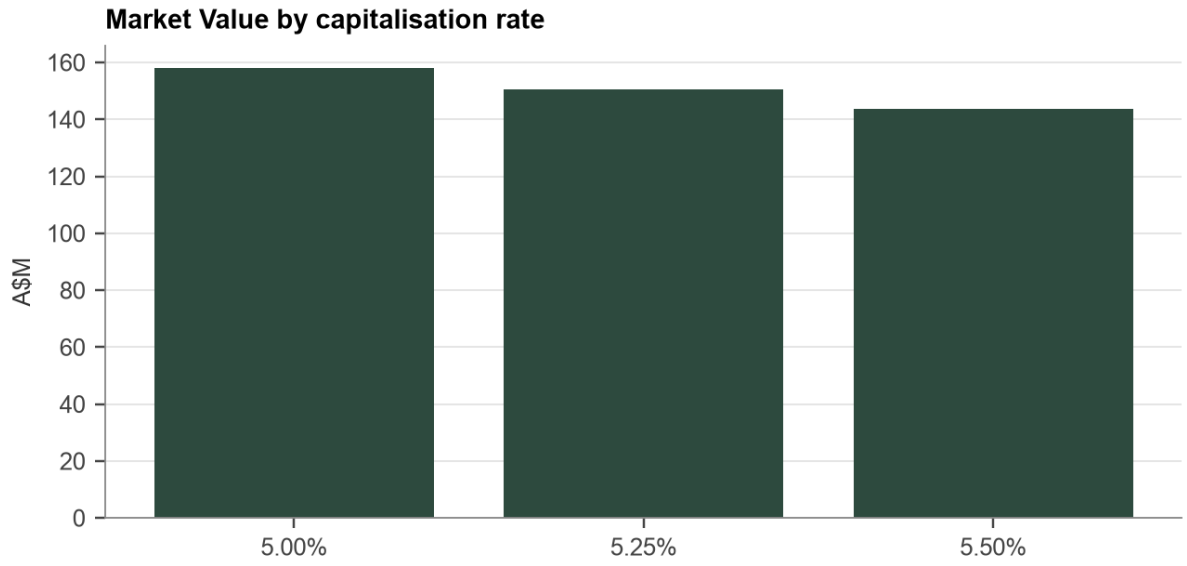
## 6.4 Reconciliation

We place primary weight on capitalisation and adopt A$150.5M. Market Value is 27.1% above total development cost of A$118.4M. The land component of A$46.0M is 30.6% of value.

# 7. Sensitivity analysis

| Cap rate | Value (A$M) | A$/sqm | LVR |
|---|---|---|---|
| 5.00% | 158.0 | 2,469 | 55.7% |
| 5.25% (adopted) | 150.5 | 2,352 | 58.5% |
| 5.50% | 143.6 | 2,244 | 61.3% |

*Value and LVR by capitalisation rate, A$88.0M facility*




*Indicative value at net income of A$7.9M*

A 50 basis point softening from the adopted rate would reduce value by around A$14M, to approximately A$136.5M after allowing for higher letting incentives on re-leasing, and would lift LVR to approximately 64.5%.

## 8. Lending metrics

The proposed facility is a A$88.0M senior secured interest-only term loan, priced indicatively at 3 month BBSW plus 2.35% per annum, with at least 70% of drawn debt hedged for three years. Pricing is indicative only and subject to credit approval. Net debt is A$85.6M, or 56.9% of Market Value. Net debt to EBITDA of A$7.9M is 10.8 times and interest cover is 1.43 times. The leverage multiple is high in absolute terms but is typical of a stabilised, long-leased industrial asset valued at a 5.25% yield. It leaves little tolerance for a rise in the unhedged 30% of drawn debt, and interest cover could fall below 1.30 times if base rates rise.

## 9. Key valuation risks

- Tenant concentration: the largest tenant contributes 31.0% of passing income and the top three contribute 68.0%. A single default would materially reduce interest cover.
- Capitalisation rate risk: a 50 basis point softening would reduce value by around A$14M and lift LVR to approximately 64.5%.
- Leasing risk: the vacant 1,600 sqm and the 2031 and 2032 expiries, which together represent 24% of income, face a western Melbourne market with significant new supply.
- Single asset and location exposure, with dependence on Arcadia Industrial for asset management and leasing under a related party management agreement with Arcadia Asset Services Pty Ltd.
- Environmental and planning risk: the site is former agricultural land with a historical contamination assessment on file. The 24/7 operating approvals depend on continued compliance with EPA Victoria conditions.
- Refinancing risk: the facility is interest only with a bullet repayment at month 60, so exit value depends on market conditions at that time.

## 10. Assumptions and qualifications

- Title is good and marketable, and the leases are enforceable as summarised in the information provided.
- The historical contamination assessment is accurate. We have not undertaken environmental testing and no remediation cost is allowed for.
- The A$1.6M of capital works is completed as scoped by Danforth Quantity Surveyors Pty Ltd. The value is stated before those works.

- The valuation is exclusive of GST and assumes no abnormal encumbrances. It is for the stated purpose and the addressees only, and it is current for 90 days or until a material change in market conditions.

## 11. Sign-off

| Role | Name | Date |
|---|---|---|
| Valuer, Director, API Certified Practising Valuer | Helena Marsh | 14 May 2026 |
| Peer reviewer, Associate Director | Tomas Reidy | 14 May 2026 |

*Kestrel Property Valuations sign-off*